

# ACCA FINANCIAL ACCOUNTING (FA)

## MOCK EXAMINATION – FULL LENGTH

Based on the current ACCA FA examination structure

**Time allowed:** 2 hours    **Total marks:** 100    **Pass benchmark:** 50%

### Instructions to students

- All questions are compulsory.
- Section A contains 35 objective test questions, 2 marks each.
- Section B contains two multi-task questions, 15 marks each.
- Show workings for numerical questions where appropriate.
- For this classroom mock, assume all amounts are in £ unless stated otherwise.
- This is an original practice paper designed to mirror the structure and breadth of ACCA FA; it is not an ACCA past or specimen exam.

**Student name:** \_\_\_\_\_ **Date:** \_\_\_\_\_

**Score:** \_\_\_\_\_ / 100    **Time taken:** \_\_\_\_\_

## SECTION A – OBJECTIVE TEST QUESTIONS

35 questions × 2 marks = 70 marks

**1. A business purchases goods on credit for £8,000. Which double entry is correct?**

- A. Dr Purchases £8,000; Cr Trade payables £8,000
- B. Dr Trade payables £8,000; Cr Purchases £8,000
- C. Dr Inventory £8,000; Cr Bank £8,000
- D. Dr Sales £8,000; Cr Trade payables £8,000

**2. Which qualitative characteristic means that financial information is capable of making a difference to users' decisions?**

- A. Comparability
- B. Relevance
- C. Understandability
- D. Verifiability

**3. A trial balance does not balance. Which error could cause this?**

- A. A complete transaction omitted from the books
- B. A purchase of equipment debited to repairs expense
- C. A transaction entered correctly in both accounts but with the wrong description
- D. A sale to a customer omitted from both the sales and receivables accounts

**4. A machine cost £50,000, has a residual value of £5,000 and a useful life of 5 years. What is the annual straight-line depreciation charge?**

- A. £9,000
- B. £10,000
- C. £11,000
- D. £12,500

**5. Which item is normally included in the cost of property, plant and equipment?**

- A. General administrative costs
- B. Staff training costs
- C. Direct installation costs
- D. Abnormal wastage

**6. Inventory is measured at the lower of cost and net realisable value. Cost is £36,000 and NRV is £33,500. What is the closing inventory figure?**

- A. £2,500
- B. £33,500
- C. £36,000
- D. £69,500

**7. A customer owing £4,000 is declared bankrupt and the business expects to recover only £1,000. What amount should be written off as an irrecoverable debt?**

- A. £1,000
- B. £3,000
- C. £4,000
- D. £5,000

**8. Which statement about a provision under IAS 37 is correct?**

- A. It is recognised whenever management expects an expense next year
- B. It is recognised when there is a present obligation, probable outflow and reliable estimate
- C. It is recognised only when the amount is certain
- D. It is never recognised for legal claims

**9. Revenue from a sale of goods is generally recognised when:**

- A. Cash is received
- B. An invoice is printed
- C. Control of the goods transfers to the customer
- D. The customer places an order

**10. A business receives £12,000 on 1 October for 12 months of insurance cover. Its year end is 31 December. What insurance expense should be recognised for the year?**

- A. £1,000
- B. £3,000
- C. £9,000
- D. £12,000

**11. Which of the following is a capital expenditure?**

- A. Annual servicing of machinery
- B. Replacement of a worn-out component with no enhancement
- C. Cost of acquiring a new production machine
- D. Electricity used in production

**12. A bank statement shows a balance of £18,500. Unpresented cheques total £2,700 and outstanding lodgements total £1,900. What balance should appear in the cash book, assuming no other differences?**

- A. £17,700
- B. £19,300
- C. £20,100
- D. £23,100

**13. Which error is most likely to be revealed by a suspense account?**

- A. Complete omission of a transaction
- B. Error of principle
- C. Reversal of an entire transaction
- D. One side of a double entry being omitted

**14. A company issues 100,000 ordinary shares at £2 each at par. What is the increase in share capital?**

- A. £50,000
- B. £100,000
- C. £200,000
- D. £400,000

**15. Which reserve normally arises when shares are issued above nominal value?**

- A. Revaluation reserve
- B. Retained earnings
- C. Share premium
- D. General provision

**16. A parent owns 80% of a subsidiary. The subsidiary's profit for the year is £50,000. Ignoring all other adjustments, what amount is attributable to the non-controlling interest?**

- A. £5,000
- B. £10,000
- C. £40,000
- D. £50,000

**17. Which of the following is eliminated on consolidation?**

- A. Parent's investment in subsidiary against subsidiary's equity
- B. Parent's revenue from external customers
- C. Subsidiary's cash with an unrelated bank
- D. Group expenses paid to third parties

**18. A parent sells goods costing £20,000 to its subsidiary for £25,000. At year end, 40% of these goods remain in the subsidiary's inventory. What is the unrealised profit?**

- A. £1,000
- B. £2,000
- C. £3,000
- D. £5,000

**19. Which ratio is primarily a measure of short-term liquidity?**

- A. Gross profit margin
- B. Current ratio
- C. Return on capital employed
- D. Receivables collection period

**20. A company has revenue of £240,000 and gross profit of £72,000. What is the gross profit margin?**

- A. 20%
- B. 25%
- C. 30%
- D. 33.3%

**21. Which item is classified as a financing cash flow under IAS 7?**

- A. Purchase of inventory for cash
- B. Cash received from issue of shares
- C. Cash received from customers
- D. Cash paid to suppliers

**22. Which of the following is an operating cash flow?**

- A. Proceeds from issuing shares
- B. Purchase of a non-current asset
- C. Cash received from customers
- D. Repayment of a bank loan

**23. A company has profit before tax of £80,000. Depreciation is £12,000 and an increase in trade receivables is £5,000. Ignoring other adjustments, what is cash generated from operations before tax?**

- A. £63,000
- B. £75,000
- C. £87,000
- D. £97,000

**24. Which TWO statements about a control account are correct?**

- A. It can help identify errors in the receivables ledger
- B. It replaces the need for individual customer accounts
- C. It contains the total of transactions recorded in a subsidiary ledger
- D. It is only used by manufacturing entities

**25. Which TWO are examples of correcting errors of principle?**

- A. Recording the purchase of a machine in repairs expense
- B. Recording a credit sale as a cash sale
- C. Recording an asset purchase in an expense account
- D. Entering £1,250 as £1,520 in both accounts

**26. A business has opening trade receivables of £25,000, credit sales of £140,000, cash received from customers of £132,000 and sales returns of £3,000. What are closing trade receivables?**

- A. £27,000
- B. £30,000
- C. £33,000
- D. £36,000

**27. A company has an opening allowance for receivables of £2,000. At year end, the required allowance is £3,200. What is the effect on profit before tax?**

- A. Increase of £1,200
- B. Decrease of £1,200
- C. Increase of £3,200
- D. Decrease of £3,200

**28. Which TWO statements about depreciation are correct?**

- A. It is a process of allocating depreciable amount over useful life
- B. It represents the market value fall in an asset every year
- C. It is charged even when the asset is paid for in cash
- D. It is never charged on non-current assets

**29. A company has a current ratio of 1.5:1 and current liabilities of £40,000. What are current assets?**

- A. £26,667
- B. £40,000
- C. £60,000
- D. £80,000

**30. Which event after the reporting period is normally an adjusting event?**

- A. A major fire destroying a warehouse after year end
- B. Bankruptcy of a customer after year end confirming that the receivable was impaired at year end
- C. Announcement of a dividend after year end
- D. Acquisition of another company after year end

**31. Which statement about the statement of changes in equity is correct?**

- A. It reconciles opening and closing balances of equity components
- B. It reports only cash movements
- C. It replaces the statement of profit or loss
- D. It includes only share capital movements

**32. Which TWO are normally qualitative characteristics of useful financial information?**

- A. Relevance
- B. Prudence as a standalone fundamental characteristic
- C. Faithful representation
- D. Profitability

**33. A business pays £6,000 for rent covering six months from 1 November to 30 April. The year end is 31 December. What rent expense is charged for the year?**

- A. £1,000
- B. £2,000
- C. £4,000
- D. £6,000

**34. A company buys inventory for £10,000 plus VAT of £2,000. The VAT is fully recoverable. What amount is included in inventory cost?**

- A. £8,000
- B. £10,000
- C. £12,000
- D. £2,000

**35. Which of the following best describes a computerised accounting system's audit trail?**

- A. A list of employees' passwords
- B. A record that allows transactions and changes to be traced through the system
- C. A forecast of future cash flows
- D. A list of all suppliers only

## SECTION B – MULTI-TASK QUESTIONS

2 questions × 15 marks = 30 marks

### Question 36 – Preparation of financial statements (15 marks)

The following trial balance was extracted from the books of **Orion Traders** at 31 December 2026:

| Account                          | Debit (£)      | Credit (£)     |
|----------------------------------|----------------|----------------|
| Revenue                          |                | 420,000        |
| Purchases                        | 250,000        |                |
| Opening inventory                | 48,000         |                |
| Distribution expenses            | 28,000         |                |
| Administrative expenses          | 36,000         |                |
| Rent                             | 18,000         |                |
| Trade receivables                | 62,000         |                |
| Trade payables                   |                | 54,000         |
| Cash at bank                     | 16,000         |                |
| Plant and equipment – cost       | 180,000        |                |
| Accumulated depreciation – plant |                | 54,000         |
| Ordinary share capital           |                | 100,000        |
| Retained earnings at 1 Jan 2026  |                | 20,000         |
| Loan                             |                | 30,000         |
| Bank interest                    | 3,000          |                |
| Drawings                         | 12,000         |                |
| Suspense account                 | 3,000          |                |
| <b>Totals</b>                    | <b>656,000</b> | <b>656,000</b> |

Additional information:

1. Closing inventory at 31 December 2026 was £55,000.
2. Rent includes £3,000 paid in advance for January–March 2027.
3. Depreciation on plant is 20% per annum on cost.
4. The suspense account relates to a credit sale of £3,000 which was correctly recorded in trade receivables but omitted from revenue.
5. Bank interest accrued but unpaid at year end is £500.
6. The loan is repayable in five years and no interest is included in the loan balance.

#### Tasks

- 36(a) Calculate revenue, cost of sales and gross profit. **(5 marks)**
- 36(b) Calculate total operating expenses, finance cost and profit for the year. **(4 marks)**
- 36(c) Calculate the closing retained earnings. **(2 marks)**
- 36(d) Calculate plant carrying amount at year end. **(2 marks)**
- 36(e) State the amount of current assets and current liabilities at year end from the information given. **(2 marks)**

### Question 37 – Consolidated financial statements (15 marks)

On 1 January 2026, **Nova Co** acquired 75% of the ordinary shares of **Echo Co** for cash consideration of £120,000. At acquisition, Echo Co's identifiable net assets had a fair value of £140,000, comprising:

- Share capital £100,000
- Retained earnings £30,000
- Revaluation surplus £10,000

The fair value of the non-controlling interest at acquisition was £42,000.

At 31 December 2026, Echo Co had retained earnings of £50,000 and revaluation surplus of £10,000. During the year, Echo Co sold goods to Nova Co for £20,000 at a mark-up of 25% on cost. One-quarter of these goods remained in Nova Co's inventory at year end. There were no other intra-group balances or transactions.

#### Tasks

37(a) Calculate goodwill at acquisition using the full goodwill method. **(3 marks)**

37(b) Calculate the unrealised profit adjustment required at year end. **(2 marks)**

37(c) Calculate Echo Co's post-acquisition profit for the year. **(2 marks)**

37(d) Calculate the non-controlling interest in Echo Co at 31 December 2026, assuming NCI shares profits in proportion to ownership and the unrealised profit adjustment is treated as affecting the selling subsidiary's profit. **(4 marks)**

37(e) Calculate the amount of Nova Co's investment in Echo Co to be eliminated on consolidation and state the basic consolidation entry required. **(2 marks)**

37(f) State two reasons why intra-group balances and transactions are eliminated in consolidated financial statements. **(2 marks)**

# **END OF STUDENT PAPER**

Do not turn the page until instructed by your tutor.